

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-23

SAMSUNG ELECTRONICS AMERICA, INC.,

COMPLAINANT,

v.

HMM CO., LTD F/K/A HYUNDAI MERCHANT MARINE, CO.
LTD.,

RESPONDENT.

**COMPLAINANT’S REPLY IN FURTHER SUPPORT OF
MOTION TO DISMISS RESPONDENTS’ COUNTERCLAIM**

Complainant Samsung Electronics America, Inc. (“Complainant” or “SEA”), by its undersigned attorneys, respectfully submits this Reply to HMM Co., Ltd F/K/A Hyundai Merchant Marine, Co. Ltd.’s (“HMM” or “Respondent”) Response to Complainant’s Motion to Dismiss HMM’s counterclaim under 46 U.S.C. § 41102(a).

ARGUMENT

As set out in detail in the Motion to Dismiss (the “Motion”), HMM has failed to plead sufficient factual allegations – let alone the particularized allegations required by Federal Rule of Civil Procedure 9(b) – to support its counterclaim against SEA. HMM’s Response to the Motion fails to address that fatal deficiency with its counterclaim. HMM’s Response also fails to meaningfully address the equally fundamental defect that its counterclaim targets SEA conduct that

is protected by the *Noerr-Pennington* doctrine. Instead, HMM's Response sets out at length its quarrel with SEA's complaint in this matter, which boils down to its disagreement with SEA over the meaning of "store-door" terms and SEA's exercise of its rights under the Shipping Act. HMM's Counterclaim is nothing more than its attempt to bluntly convert its contractual disagreement into a bad faith pleading of a violation of Section 41102(a) through thinly-veiled conclusory allegations.

I. Application of FRCP 12(b)(6) requires FRCP 9(b)'s heightened pleading requirements, and the Commission's 1993 Ruling on its Procedural Rules Explicitly Does Not Address FRCP Rule 9(b).

HMM argues that Commission precedent does not require a heightened standard of pleading for allegations of fraud and that the Commission "has explicitly rejected the incorporation of Federal Rule 9(b) into its own rules." (HMM Response, p. 7). In particular, HMM provides its analysis of the Commission's 1993 evaluation of a proposal to amend its procedural rules to add additional pleading requirements to Section 10(a)(1), a predecessor of Section 41102(a).

A more thorough read of the Commission's proposal and opinion, however, reveals that the Commission's ruling had nothing to do with FRCP 9(b). In fact, the Commission mentions FRCP 9(b) only once in its initial proposal of the rule and does not mention the rule in its decision *at all*. In its initial proposal, the Commission mentions only that its proposal was "patterned after the corresponding rule 9(b)" in that it too suggested pleading Section 41102(a) "with particularity." *Miscellaneous Amendments to Rules of Practice and Procedure*, Dkt. No. 93-02, 58 Fed. Reg 7199-02, 1993 WL 24815 (FMC 1993). The Commission otherwise notes that FRCP 9(b) covers *different* subject matter (i.e., allegations of fraud) which "bears some resemblance to the type of conduct which is prohibited by section 10(a)(1)." *Id.*

As outlined by the Commission in its proposal, the rationale for a heightened pleading requirement was to address an increase in garden variety breach of contract cases (referred to as "simple failure to pay" cases) that were being alleged in bad faith as violations of the statute, and

were more appropriately heard in state law courts. *Miscellaneous Amendments to Rules of Practice and Procedure*, Dkt No. 93-02, 58 Fed. Reg. 42273, 1993 FMC LEXIS 28 (FMC 1993) (Discontinuance of Proceeding). The Commission’s decision never once mentions FRCP 9(b), as the Commission decided to forgo its proposal because the Commission had already incorporated an interpretive regulation, 46 C.F.R. § 571.2 (now embodied in 46 C.F.R. § 545.2), which effectively heightened the pleading requirements under the statute. (“In light of the guidance provided to complainants by the existing regulations, and the broad discretion to address inadequate pleadings currently enjoyed by ALJs, we are satisfied that a new procedural rule applicable only to section 10(a)(1) is not needed at this time for the efficient disposition of these cases.”). *Id.* at *9-10.

As neither the Commission’s proposal nor its decision were concerned with FRCP 9(b)’s application, HMM’s arguments against a heightened pleading standard are without basis. That the Commission’s 1993 ruling had nothing to do with FRCP 9(b) is clear from the face of the ruling, which remains authoritative to this day, despite HMM’s incorrect characterization of it.¹ Given this, as there is no specific Commission rule that covers the situation, per 35 C.F.R. § 502.12, “the Federal Rules of Civil Procedure *will* be followed to the extent that they are consistent with sound administrative practice.” *Id.* (emphasis added). And HMM has offered no reason why FRCP 9(b)’s goal of (1) providing the defendant with fair notice of the plaintiff’s claim, (2) safeguarding a defendant’s reputation from improvident charges of wrongdoing, and (3) protecting a defendant against the institution of a strike suit, *see Wood ex rel. U.S. v. Applied Research Assocs., Inc.*, 328 Fed. Appx. 744, 747 (2d Cir. 2009), is inconsistent with sound administrative practice.

¹ *Cf. Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 0901, 31 S.R.R. 1369 (ALJ Order on Motions to Dismiss) (Commissioner citing to and analyzing the Commission’s proposal and ruling, which as noted, does not address FRCP 9(b)).

II. HMM Fails to Allege Use of an Unjust or Unfair Device or Means by SEA.

In addressing Section 41102(a)'s unjust or unfair device or means element, HMM fails to address a central problem with its pleadings, which is that HMM never explains why SEA was obligated to address demurrage and detention charges before issuing the October 7, 2022 Demand Letter. HMM does not allege that SEA was obligated to utilize HMM's dispute resolution process, nor does it allege that HMM had a right that SEA do so. Nor does HMM allege that the statute of limitations has run on SEA's claims. In the absence of any such pleading, HMM fails to plead the element of unjust or unfair device or means.

HMM otherwise makes only conclusory allegations that simply assert elements of Section 41102(a). For instance, HMM attempts to bootstrap its way to a claim of "unjust or unfair device" by calling SEA's activity "concealment." However, without alleging that SEA had a duty to disclose that it was intending to contest detention and demurrage charges at a later date, HMM's concealment claim is nothing more than a legal conclusion for one of the elements of Section 41102(a). *Rana v. Michelle Franklin, d.b.a. "The Right Move,"* 5 F.M.C.2d 7, 20-21 (FMC May 25, 2022) ("To establish a violation of section 41102(a) 'fraud or concealment is a necessary ingredient in the proof of an unjust or unfair device or means.'" (quoting *U.S. v. Open Bulk Containers*, 727 F.2d 1061, 1064 (11th Cir. 1984))). For that matter, HMM does not even allege a factual basis for asserting that SEA even intended to contest detention and demurrage charges at the time individual charges were incurred. This falls far short of even general pleading standards. *See, e.g., Ashcroft v. Iqbal*, 556 U.S. 662 (2009) ("we are not bound to accept as true a legal conclusion couched as a factual allegation,") (internal quotation marks omitted); *Noto v. 22nd Century Group, Inc.*, 35 F.4th 95, 102 (2d Cir. 2022) (...the court is free to disregard conclusory allegations or legal conclusions couched as factual allegations.); *Davis v. Wells Fargo, N.A.*, 824

F.3d 333, 341 (3d Cir. 2016)) (“[W]e disregard legal conclusions and recitals of the elements of a cause of action supported by mere conclusory statements.”).

Similarly, HMM alleges that “SEA never intended to be responsible for the CNT charges it had agreed to pay.” This allegation, however, is just a conclusory allegation of bad faith. *See, e.g.*, 46 C.F.R. § 545.2 (Commission’s regulatory guidance requiring “*evidence* of bad faith or deceit” for the Commission to infer an “unjust or unfair device,” not merely a conclusory allegation). HMM alleges no facts on which to base its allegation that SEA “never intended” to be responsible. More importantly, HMM’s allegation is actually contradicted by other facts that it also alleges in its Counterclaim, namely that SEA *actually paid its detention and demurrage charges* and seeks to recoup its overpayment through an adjudication by the Commission, which it can only secure by convincing the Commission that the charges were incorrectly assigned.

Finally, HMM cites to 46 C.F.R. § 545.2 (“Unpaid ocean freight charges”) and analogizes its pleadings to a cited example of violation where “a shipper, in bad faith, induced the carrier to relinquish its possessory lien on the cargo and to transport the cargo without prepayment by the shipper of the applicable freight charges.” *Id.* HMM’s comparison is flawed for two reasons that are plain on the face of the regulation: (1) the regulation and example deal with situations in which the shipper *failed to pay applicable charges*, and (2) the shipper in the example *induced the carrier to relinquish a right* on the cargo in bad faith. The present case is plainly different, in that HMM acknowledges that SEA paid the subject detention and demurrage charges (HMM Counterclaim ¶¶ 65, 66), and HMM does not allege that it relinquished or was induced out of a *right* that it had in relation to the cargo, as a result of SEA’s actions.

HMM’s citation to 46 C.F.R. § 545.2 is curious, because as noted, the regulation was created to prevent parties from bringing basic breach of contract cases before the Commission through bad faith allegations of violation under Section 41102(a). Under 46 C.F.R. § 545.2, *even*

where a shipper had failed to pay its applicable charges, a carrier would have still failed to adequately allege a violation of the statute, given its failure to provide “evidence of bad faith or deceit” for the Commission to infer an “unjust or unfair device.” *Id.* (emphasis added). Here, SEA has gone a step further and actually paid the disputed charges, putting it completely out of the ambit of Section 41102(a). HMM otherwise makes only conclusory allegations of bad faith or deceit, which makes plain that its Counterclaim is nothing more than an attempt to use its contractual disagreement with SEA to plead a violation under Section 41102(a) – something 46 C.F.R. § 545.2 was meant to prevent.

III. HMM Does not allege Ocean Transportation.

In its Reply HMM alleges that detention and demurrage charges are “extended ocean freight charges.” (HMM Response, p. 14). HMM does not provide any explanation, however, for how this point yields the further conclusion that SEA itself “obtained or attempted to obtain ocean transportation,” which is what is actually needed to plead a violation of Section 41102(a). HMM’s cited cases are inapposite. *Gulf Puerto Rico Lines, Inc. v. Associated Food Co., Inc.*, 366 F. Supp. 631 (D.P.R. 1973) concluded that because demurrage is “extended freight” that a federal court thus has jurisdiction to entertain causes of action relating to demurrage “as an admiralty and maritime claim.” *Suzuki v. Central Argentine Railway*, 27 F.2d 795 (2d Cir. 1928) concluded that because demurrage is “extended freight” that language in a specific clause of the subject charter party regarding a strike exception did not apply to the running of time in charging demurrage. Such conclusions do not get HMM to the conclusion that SEA itself “obtained or attempted to obtain ocean transportation,” in virtue of its being liable for detention and demurrage.

Separately, in apparent acknowledgment that HMM does not actually allege SEA is an “owner of cargo” in its Counterclaim pleadings, HMM attempts to reach to SEA’s Amended Complaint (citing Amended Complaint ¶ 63) for the proposition that SEA is an “owner of cargo”.

However, HMM never incorporated this allegation into its Counterclaim pleadings, and any new allegations it makes in its Response cannot be considered as part of its Counterclaim pleadings on a motion to dismiss. *Hurst v. District of Columbia*, 681 F. App'x. 186, 194 (4th Cir. 2017) (“a plaintiff may not amend her complaint via briefing”); *Car Carriers, Inc. v. Ford Motor Co.*, 745 F.2d 1101, 1107 (7th Cir. 1984) (“[I]t is axiomatic that the complaint may not be amended by the briefs in opposition to a motion to dismiss.”).

In any case, HMM’s cited paragraph from SEA’s Amended Complaint does not actually allege that SEA is an owner of cargo – it more properly concerns HMM’s practices and procedures relating to the assessment of demurrage and detention, and contains only a fleeting reference to “SEA’s property.” Importantly, HMM’s answer unambiguously *denies* SEA’s Paragraph 63 (HMM Ans. To Verified Comp. ¶ 63) (“Denied”), making its attempt to incorporate it into its pleading meaningless.

IV. HMM seeks “retroactive continuity” to dispute the application of the *Noerr-Pennington* Doctrine.

HMM seeks to circumvent the *Noerr-Pennington* doctrine by suggesting that its allegations extend to conduct outside of SEA’s filing of the Amended Complaint, noting “the unfair means or device complained of here is not the filing of the Original Complaint or Amended Complaint, but rather, the after-the-fact attempt to evade contractual obligations and obscure corporate relationships in conjunction with threats to HMM and, ultimately the filing of the Original Complaint.” (HMM Response, p. 16). Leaving aside that HMM did not (and cannot) allege that SEA was a signatory or party to the service contracts or bills of lading, HMM’s argument is directly contradicted by its Counterclaim, which alleges at paragraph 66:

In demanding refunds of charges imposed pursuant to the terms of the Service Contracts, and in demanding that HMM waive future lawful charges, and ***in bringing legal proceedings against HMM*** and other ocean carriers in an attempt to seek recovery of demurrage, detention and other charges which have been properly assessed to SEA by virtue of its own acts and omissions, SEA has

knowingly and willfully engaged in a unjust or unfair device or means to obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply, all in violation of 46 U.S.C. §41102(a) of the Shipping Act.

(Emphasis added).

The issuance of a pre-litigation demand letter, and bringing of a Complaint to the Commission, as permitted by the Shipping Act and the Commission's regulations, is precisely the type of activity protected by the *Noerr-Pennington* doctrine. HMM's attempt to advance an argument that its contradicted by the plain text of its own Counterclaim cannot avoid the necessary and unavoidable conclusion that its Counterclaim violates the *Noerr-Pennington* doctrine, and must be dismissed on that ground, as well as its utter lack of legal and factual basis.

In its arguments on the *Noerr-Pennington* doctrine, HMM otherwise attempts to supplement its Counterclaim pleadings, and alleges for the first time in its Response that SEA "obscure[d] corporate relationships," made "threats to HMM" and tried to "coerce discounts" from HMM. These new allegations are found nowhere in its Counterclaim pleadings, and as they appear for the first time in its response to the Motion to Dismiss, they should be ignored. *Car Carriers, Inc.*, 745 F.2d at 1107. In any case, HMM's allegations of "threats" and "coercion" appear to refer to the SEA Demand Letter and its filing of the litigation. *See, e.g.*, HMM Response, pp. 3, 4, 5, 9, 10, 13 (referring to the Demand Letter as "threats") and HMM Response, pp. 2, 5 (referring to the Demand Letter as "coercion"). HMM's repackaging of these same claims with new language does not thereby take them out of the realm of *Noerr-Pennington*.

V. HMM's Counterclaim should be dismissed with prejudice.

Finally, HMM's Counterclaim should be dismissed with prejudice. SEA recognizes that leave to amend pleadings is routinely granted, except in cases of, *inter alia*, futility and bad faith. *See, e.g., Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC; et al*, 2014 WL 5824274, at *9 (ALJ, Nov. 6, 2014) ("When a complaint is dismissed for failure to state a claim, leave to amend

need not be given if amendment would be futile.”); *Leonelli v. Pennwalt Corp.*, 887 F.2d 1195, 1198 (2d Cir. 1989) (leave to amend “will be denied when an amendment is offered in bad faith, would cause undue delay or prejudice, or would be futile”).

Here, HMM’s Counterclaim makes plain that HMM cannot state any cognizable basis for a claim under Section 41102(a). The deficiencies of HMM’s Counterclaim are not merely inartful drafting, but an improper basis in violation of the *Noerr-Pennington* doctrine and a lack of any actual factual or legal basis. Stripped of its redundancies and irrelevancies, the Counterclaim is merely HMM’s argument that its practice of demanding demurrage and detention from the consignee of a store-door shipment for delayed deliveries is permitted by its service agreement and any subsequent legal challenge to that practice is unlawful. That is not a viable counterclaim. Accordingly, HMM’s Counterclaim should be dismissed with prejudice. *See, e.g., Cuoco v. Moritsugu*, 222 F.3d 99, 112 (2d Cir. 2000) (“The problem with [plaintiff’s] cause[] of action is substantive; better pleading will not cure it. Repleading would thus be futile. Such a futile request to replead should be denied.”).

CONCLUSION

For the reasons set forth in the Motion and above, Complainant SEA respectfully requests an Order dismissing with prejudice HMM’s Counterclaim in its entirety, and SEA further requests that the Order grant SEA its attorneys’ fees in connection with this Motion to Dismiss; and grant all such other and further relief as may be just and proper.

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Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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